Asia week ahead: China's Two Sessions and South Korean inflation data

China s Two Sessions meetings, when growth targets will be announced, begin on 4 March. Key data releases include China s manufacturing purchasing managers index and South Korean inflation and exports

Asia Research Highlights of the Week

Japan's inflation cools despite improving growth, leaving BoJ in no rush to tighten
The Bank of Korea stands pat, highlighting its neutral stance
From IEEPA to Section 122: What a tariff reset means for Asia
Bank of Japan won't alter its policy normalisation path

China: All eyes on the Two Sessions

The long-awaited Two Sessions kicks off in Beijing on 4 March. We'll get China s key economic targets for 2026, most notably for GDP growth. We believe there s a chance the growth target will

be lowered to "above 4.5%" from "around 5.0%" over the past few years. China will also unveil fiscal targets, including for the deficit-to-GDP ratio and bond issuance. Markets will watch closely for any new stimulus directions outlined in the readout. The finalised 15th Five-Year Plan will be approved at the meeting, setting the stage for the next five years of China s development.

We'll get China s February manufacturing purchasing managers index. We expect the official manufacturing PMI to moderate to 49.1.

South Korea: Exports expected to grow amid strong semiconductor demand

South Korea's exports should continue to record strong gains in February. Despite unfavourable calendar effects due to the timing of the Lunar New Year holiday, exports are expected to rise 25% year-on-year in February. Data on 20-day exports showed that semiconductors jumped 134%. As DRAM/HBM prices continue to rise, value term exports will increase substantially for an extended period. Meanwhile, auto exports are likely to decline, with Lunar New Year expected to have a more negative impact. Industrial production and retail sales in January are expected to show mild gains, driven by robust global chip demand and the local equity rally. Meanwhile, consumer inflation is expected to rise to 2.2% year-on-year in February. Gasoline prices rose, and additional price hikes are expected amid holiday demand.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
		Sunday 1 March		
South Korea	0800	Feb Exports (YoY%)	25	33,8
	0800	Feb Imports (YoY%)	15	11,6
	0800	Feb Trade Balance (USD bn)	10	8,7
		Monday 2 March		
China	0945	Feb Manufacturing PMI Final	49,1	50,3
Japan	0830	Feb S&P Manufacturing PMI Final	52,8	52,8
India	1300	Feb HSBC S&P Global Manufacturing PMI	-	57,5
	1830	Jan Industrial Production (YoY%)	-	7,8
Indonesia	0830	Feb IHS S&P Global PMI	-	52,6
	1200	Feb Core CPI (YoY%)	2,5	2,45
	1200	Feb Inflation (MoM%/YoY%)	-/4.3	-0.15/3.55
	1200	Jan Trade Balance (USD bn)	-	2,5
	1200	Jan Exports Growth (YoY%)	12,5	11,6
	1200	Jan Imports Growth (YoY%)	15	10,8
Philippines	0830	Feb Manufacturing PMI	-	52,9
Singapore	2100	Feb Manufacturing PMI	-	50,5
		Tuesday 3 March		
Japan	0730	Jan Unemployment Rate	2,6	2,6
	0730	Jan Job-To-Applicant Ratio	1,2	1,2
	0730	4Q Capital Spending (YoY%)	3,5	2,9
Australia	0830	Q4 Current Account Balance (AUD bn)	-	-16,6
Philippines	1600	Dec Budget Balance (PHP bn)	-	-157,6
Taiwan	0830	Feb S&P Global Manufacturing PMI	-	51,7
		Wednesday 4 March		
China	0930	Feb NBS Manufacturing PMI	-	49,3
	0930	Feb NBS Non-Manufacturing PMI	-	49,4
	0945	Feb RatingDog Services PMI	-	52,3
Japan	0830	Feb Services PMI Final	53,8	53,8
	1300	Feb Consumer Confidence	-	27,9
South Korea	0830	Feb IHS S&P Global Manufacturing PMI	52	51,2
	0700	Jan Industrial Output (MoM%/YoY%)	1.0/2.5	1.7/-0.3
	0700	Jan Retail Sales (MoM%)	1	0,9
Australia	0830	Q4 Real GDP (QoQ%/YoY%)	-/-	0.4/2.1
Taiwan	1600	Jan Export Orders (YoY%)	-	43,8
		Thursday 5 March		
Philippines	0900	Feb Core CPI (YoY%)	-	2,8
	0900	Feb CPI (MoM%/YoY%)	-/2.3	0.8/2
Singapore	1300	Jan Retail Sales (MoM%/YoY%)	-/-	-5.4/2.7
Taiwan	1600	Jan Industrial Output (YoY%)	-	21,6
	1620	Feb FX Reserves (USD bn)	-	604,5
	1620	Jan Retail Sales (YoY%)	-	0,9
		Friday 6 March		
India	1930	FX Reserves (USD bn)	-	726
South Korea	0700	Feb CPI Growth (MoM%/YoY%)	0.4/2.2	0.4/2
	0700	Jan Current Account Balance NSA	-	18,7
Indonesia	1100	FX Reserves (USD bn)	-	154,6
Philippines	1700	FX Reserves (USD bn)	-	112,5
Taiwan	1600	Feb CPI (YoY% NSA)	-	0,69

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